Human Resources Dept.

March 4, 2026

Sent Via Email

To: Paul Buddenhagen, City Manger
David White, Deputy City Manager

From: Janelle Rodrigues, Human Resoures Director

RE: HR FY 27 FY 28 Budget Reduction Proposal and Operational Impacts

SUMMARY

The Human Resources Department is proposing a total budget reduction of approximately **13%**, for a total reduction of **$668,804** achieved through:

- Personnel elimination of two vacant Workers' Compensation (WC) funded positions and cost reallocation of $433,037
- General Fund non-personnel reductions of $238,236

This proposal reflects a deliberate effort to preserve core HR service delivery while aligning with the City's fiscal constraints and stewarding public funds responsibly. The reductions rely primarily on structural adjustments and contract eliminations rather than one-time savings or reductions in filled positions.

I. Personnel Total: $433,037

Positions Eliminated (Vacant):

- HR Associate Analyst (WC) – PCN 1195
- Occupational Health & Safety Specialist – PCN 4764

Combined Budgeted Salary: $244,695
Fringe (FY26 rate 0.7697): $188,342
Total: $433,037

These positions are currently vacant and fully funded by the Workers' Compensation Fund. Rather than filling these vacancies, we propose reallocating existing General Fund HR staff time

to perform Workers' Compensation functions and thereby cost shift an equivalent amount of existing GF personnel costs to the WC Fund.

This action does not increase overall WC Fund spending. It reallocates existing capacity within the fund to the GF personnel that will absorb the work because of eliminating the two WC positions.

Operational Impact:

High.

Workers' Compensation case management and safety/occupational health functions will continue but will be absorbed by existing HR staff. As a result, capacity for program development and initiatives beyond baseline compliance will be reduced.

The existing Safety Officer and Senior Human Resources Analyst (Workers' Compensation) will no longer have dedicated operational redundancy staffing. To mitigate this reduced backup capacity, identified staff absorbing the work via this cost shift will require extensive cross-training to ensure continuity of operations and the ability to prioritize this work to cover vacations, unexpected leaves, or vacancies as they arise.

For occupational health and safety the capacity to take proactive measures is significantly reduced. This includes capacity and response times for non-baseline initiatives like ergonomic assessments and site visits.

For worker's compensation and leaves, HR will closely monitor case closure timelines, claim progression, and internal tracking metrics to ensure the City does not incur additional costs due to processing delays resulting from this shift in staffing structure. If performance indicators suggest that delays create increased claim exposure or financial impact, HR will reassess workload distribution and reprioritize assigned staff duties as necessary to ensure this cost-shifting proposal results in a net savings to the City.

II. General Fund Non-Personnel Reductions Total: $238,236

1. Employer of Choice Consulting – $96,742

This eliminates external consulting support focused on employer branding, workforce strategy, and retention positioning.

Operational Impact: Low.

Strategic employer branding efforts will be reduced. Recruitment marketing enhancements will be internally managed with reduced capacity. Longer-term workforce competitiveness initiatives may slow. In the near term these initiatives may not be a City priority as potential reductions in force loom.

2. HR Accuity Software Cancellation – $46,494

This software tool was purchased for Employee and Labor Relations case tracking.

Operational Impact: Low to none.

HR staff did not fully adopt or integrate the software into daily operations. Case tracking and documentation will continue through established internal systems utilizing the Microsoft Suite and other existing tools, which remain sufficient for operational needs.

There had been interest expressed by the City Attorney's Office in using the platform to monitor HR case activity. While interdepartmental transparency and collaboration are important, a review of system license activity and login history indicates that City Attorney staff have not accessed or utilized the platform in several months an even then only minimally and sporadically.

Given the limited adoption and absence of active cross-departmental utilization, discontinuing the software represents a fiscally responsible reduction without material operational impact.

3. GovInvest Contract Elimination – $45,000

This contract provided advanced financial modeling tools to support long-term forecasting of personnel costs, retirement liabilities, and scenario modeling for labor negotiations.

Operational Impact: Medium to low.

Eliminating this contract will reduce access to modeling tools. Long-range personnel cost modeling will instead require closer collaboration between HR and Budget using existing internal tools and spreadsheets.

While this approach remains viable, it will increase manual analysis time and reduce the speed at which complex compensation and liability scenarios can be evaluated. The City may experience longer turnaround times for detailed cost projections, particularly during active bargaining cycles.

4. Commercial Driver's Program Recordkeeping Contract – $50,000

Reduction of contract services for document storage and commercial driver's license tracking. The work will be absorbed internally.

Operational Impact: None.

This budget object code was increased in anticipation of adoption of a Commercial Driver's Program software implementation. The planned Request for Proposals will be cancelled. The work will continue to be absorbed by existing staff across HR and Public Works (Safety Officer classification).

III. Total Reduction Summary

Category	**Amount**
Personnel Elimination WC/GF Cost Shift	$433,037
General Fund Non-Personnel Reductions	$238,236
Total Reduction	**$668,804 (~13%)**

This proposal avoids layoffs of filled positions and will result in a shift for HR from proactive and strategic initiatives related to occupational health and safety and recruitment toward a more compliance-focused, baseline service model.

If additional reductions are required beyond this level, they would likely necessitate reductions to filled positions and have a significant impact on internal service delivery timelines across recruitment, labor relations, leaves, worker's comp, benefits administration, and occupational safety.